Does Financial Aid Improve the Educational Outcomes of High-Achieving Low-Income Students? Evidence from the French *aide au mérite*

How can governments best help high-achieving low-income students in their higher education trajectories? One instrument is to give them additional financial aid to reduce their need to work while studying which could, in theory, increase both enrollment in and graduation from a higher education institution. ***The aim of this research project is to evaluate a financial aid scheme introduced in France in 2008, the*** **aide au mérite,** ***which granted an additional 200 euros per month to low income students who obtained at least 16/20 at the Baccalauréat*** *(French end of high school exam). Using a regression discontinuity design and rich administrative data on students who obtained the Bac in 2008-2011, preliminary findings suggest* ***this policy may have had a small positive impact on enrollment*** *but* ***no statistically significant effect on persistence*** *in 2nd or 3rd year. These results are still exploratory and additional analyses will be undertaken to assess the effect of the policy on other outcomes and to understand the underlying mechanisms.*

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Background

France's main higher education need-based financial aid scheme is awarded to students based on a combination of parental income and disadvantage points (number of additional dependent children, distance to the higher education institution). Each combination of parental income and disadvantage points is allocated a given *echelon* of aid.

In 2008, the *aide au mérite* was introduced to supplement the aid given to high achieving need-based eligible students. In particular, it consisted in awarding an additional **200 euros per month over 9 months** (1,800 euros per year) for 3 years to students enrolled in a higher education institution who satisfied 2 criteria:

1. Eligible to the need-based financial aid (*bourses sur critères sociaux (BCS)*)
2. Obtaining a mention Très Bien (≥ 16/20) at the Baccalauréat

The *aide au mérite* represented 126% of the 2008 need-based aid for the lowest echelon (least disadvantaged) and 45% for the highest echelon (most disadvantaged).

The 16/20 threshold for the eligibility to the *aide au mérite* can be used as a quasi-experiment, by comparing need-based aid eligible students just above and just below the grade threshold. Those just below serve as the control group for those just above.

Methodology

This project uses a **regression discontinuity design**. Specifically, I fit local linear regressions to the left and the right of the cutoff. The difference between the intercepts of the lines at the cutoff corresponds to the causal effect. The bandwidths are computed using the data-driven procedure developed by Calonico et al. (2014). Because Bac grades are not smoothly distributed around the 16 threshold, as a sensitivity test I exclude students with grades between 15.8 and 16.1. I use **administrative data on students who obtained the Bac between 2008 and 2011**. Results are based on the **sample of students who were eligible to need-based financial aid and who registered a public universitiy** in their financial aid application.

Objectives

The objective of this paper is to **estimate the causal effect of the *aide au mérite*** on a range of outcomes: (i) enrollment in higher education; (ii) persistence; (iii) graduation; (iv) geographic mobility, and (v) motivation of high school students. I am also interested in uncovering whether the policy had heterogeneous effects which may help understand the mechanisms underpinning the results.

Preliminary Results

Figure 1 displays the preliminary findings for the following outcomes: enrollment in Bac year, enrollment in 2nd year 2 years after the Bac, and enrollment in 3rd year 3 years after the Bac. Panel A corresponds to the results for enrollment. Eligibility to the aide au mérite appears to have **increased the probability of enrolling in higher education by about 1.5-2.5 percentage points** and the estimates are significant at the 5% level. Panels B and C relate to persistence in 2nd and 3rd year. The estimates suggest **eligibility to the aide au mérite might have had a positive effect on persistence though the estimates are not statistically significant at conventional levels**.

Conclusion

The initial findings from this research project suggest **the *aide au mérite* did not have much effect on enrollment or persistence in higher education**. **More analysis is needed** to better understand the underlying mechanisms.

References

Calonico, S., Cattaneo, D. and Titiunik, R., (2014). "Robust Nonparametric Confidence Intervals for Regression-Discontinuity Designs", *Econometrica*, 82(6), pp.2295-2326